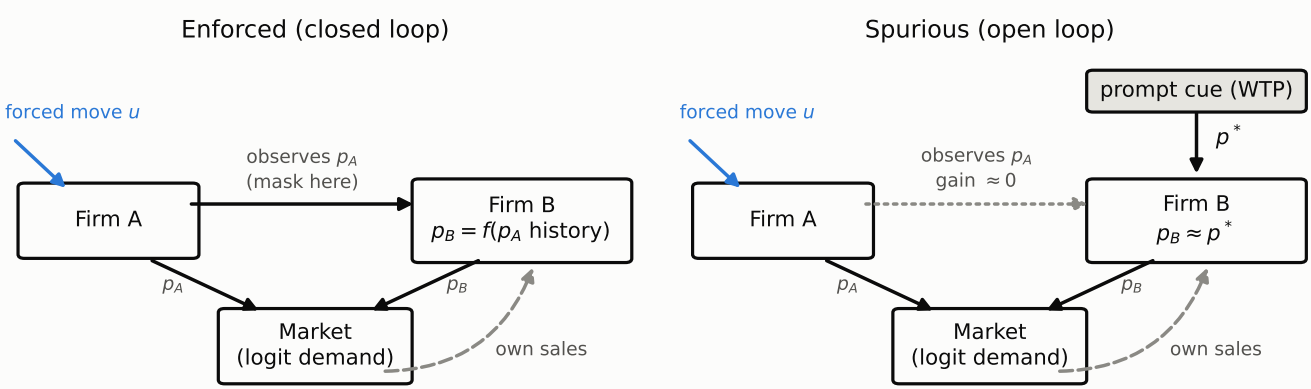
Enforced (closed loop)
forced move $u$
observes $p_A$
(mask here)
Firm A
Firm B
$p_B = f(p_A$ history)
$p_A$
$p_B$
Market
(logit demand)
own sales
Deviation is seen and answered;
raises and hiding $p_A$ identify $f$.
Spurious (open loop)
prompt cue (WTP)
$p^*$
forced move $u$
observes $p_A$
gain $\approx 0$
Firm A
Firm B
$p_B \approx p^*$
$p_A$
$p_B$
Market
(logit demand)
own sales
High price is a held set point;
a forced cut is kept, not punished.